

Owning a Co-Op

When you purchase a co-operative apartment, you do not technically own real estate. Instead you own shares in a corporation that owns the real estate. You become a tenant in a designated apartment in the building by signing a proprietary lease with the corporation. The co-op board of directors makes sure that the offering plan and the by-laws of the co-op are enforced. Each tenant is charged a maintenance fee that pays for the ongoing maintenance of the building along with real estate taxes, insurance, and the mortgage on the building. Although you do not technically own the real estate, for tax purposes you are entitled to deduct any interest associated with a co-op loan taken to purchase the premises as if it were a real estate mortgage. Additionally, any part of the monthly maintenance attributable to the payment of real estate taxes on the building or mortgage interest on the co-op's mortgage will flow to you so you can deduct those amounts as itemized deductions on your tax return. Usually, the managing agent of the co-op will issue a statement informing the shareholders as to the portion of the maintenance charge properly allocable to mortgage interest and real estate taxes. Before you purchase a co-op, it is important to analyze the current financial statements of the co-op carefully in order to determine whether the current maintenance charge is sufficient to support the co-op's ongoing carrying costs.